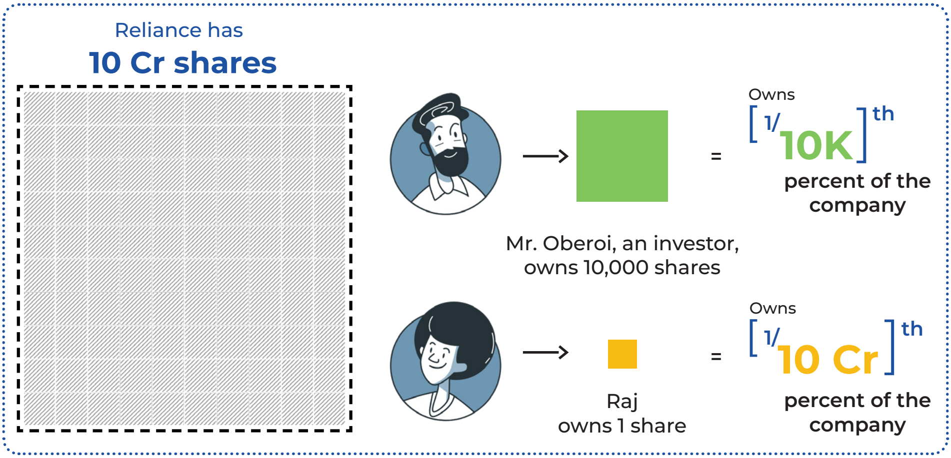
For instance, If Reliance has 10 crore outstanding shares with a share price of ₹ 2,000 each, then the Market Capitalisation of Reliance is 20,000 crores (2,000 x 10 crores)

When we look at stock prices, we look at the price per share and not the company's total value. So for ₹ 2000, you receive one share of Reliance. We will see going forward how we need to focus more on the market cap over the price per share.

For example,



So, even if you own one share you are becoming a partner of (1/10cr)th percent of the company and buying a small ownership in this value. Whereas, Mr. Oberoi, an investor, who owns 10,000 shares of the same company will hold a larger portion of the Company. **However, all the shares will go up and down by same value. This is how stock ownership works. You own a small part of the entire business.**

For your ₹ 2,000 to become ₹ 4,000, the market capitalization of Reliance must increase from 20,000 crores to 40,000 crores. This will happen as the company increases its profits and also with everyday fluctuations in the share price.